

investment manager relationships that date back over 35 years. University endowments can sometimes gain access to capacity-constrained investment strategies by appealing to an investment manager's desire to support our twin missions of educational excellence and cutting-edge research. Large communities of alumni, faculty, parents, and friends provide a built-in network of people who help us find and diligence new investment managers. As a result, most endowments build portfolios of investment managers, rather than buying assets directly. Endowment investment staff appropriately focus their time on the external investment manager selection process and the allocation of capital between these managers to gain desired exposures.

An endowment's competitive advantages naturally lead to portfolios that look very different from your average 401(k) retirement account. With a stable capital base and a long time horizon, endowments are able to invest with fund managers pursuing long-duration, more illiquid investment strategies. Endowments can participate with managers in the redevelopment of real estate assets, the purchase of private businesses, the sustainable harvesting of timberlands, and investment in venture capital start-ups. The main attraction of these arenas is that they lend themselves to active involvement, allowing investment managers to add value above baseline market returns. For example, we might work with a real estate manager who purchases a run-down, half-empty building. If the manager can successfully refurbish and re-lease the building, they may be able to earn compelling returns, even if market rents in the area remain flat. As a result of these opportunities to add value and the ability to tolerate illiquidity, it is not uncommon for endowments to allocate a significant portion of their portfolios to private equity, venture capital, and real estate strategies, rather than investing only in more traditional stock and bond strategies.

Yet even with these differences, endowments can learn a great deal from *Security Analysis*. One of the keys to success in any industry is to